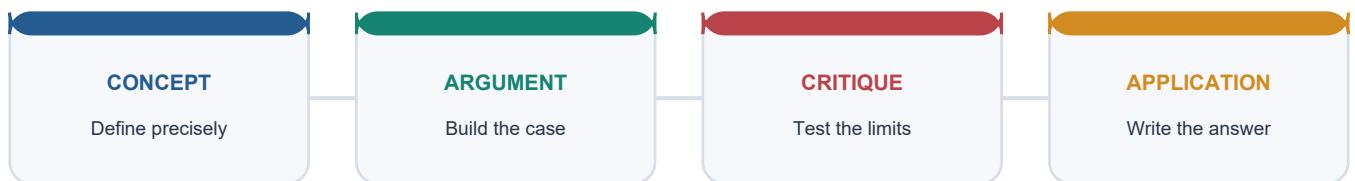


COMPLETE LEARNING SESSION

Polity Topic 30 - GST Council - Complete Learning Session

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing

LEARNING PATH



Deterministic fallback visual: move from precise concepts through argument and critique to exam application.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

CONTENTS / SESSION INDEX

Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

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Polity Topic 30 - GST Council

Control date: 8 September 2026 (Asia/Kolkata) **Evidence labels:** [FACT] named constitutional/statutory/judicial/official source; [CURRENT] date-sensitive official position; [ANALYSIS] reasoned exam use; [LIMIT] qualification.

SOURCE AND STATUS CONTROL

1. Canonical Markdown: Polity/basic/GST-Council.md, Polity/advanced/30_GST-Council.md, complete-topic owner, and linked fiscal-federalism owners.
2. OCR check: local *Indian Polity* and *Indian Economy* PDFs for chapter-level conceptual corroboration.
3. Official law: Constitution and 101st Amendment; CGST, IGST and GST (Compensation to States) Acts; official Council conduct regulations.
4. Judicial control: Supreme Court judgment dated 19 May 2022 in *Union of India v Mohit Minerals Pvt. Ltd.*
5. Current official control: 56th Council release dated 3 September 2025; GST Council Secretariat newsletter dated April 2026; CBIC/GST Council notifications 18/2024 and 19/2024.

SOURCE LIMITS

- The latest official Council meeting recommendation release located in the bounded check through 8 September 2026 is the 56th meeting release of 3 September 2025.
- No commodity-wise current rate catalogue is attempted. A recommendation, statute, notification and effective date remain separate.
- No complete separately operational Article 279A(11) mechanism was located; GSTAT is not relabelled as that intergovernmental mechanism.
- No universal post-2022 compensation-cess end date is asserted. Official material is used only for the purpose it expressly evidences.

BASIC LEARNING SESSION

SESSION 1 - WHY GST REQUIRED A CONSTITUTIONAL COMPACT

VISUAL FIRST

PRE-GST: manufacture tax + service tax + State VAT/CST + entry levies
|
broken cross-credit and borders
v
GST COMPACT: shared tax field + destination settlement + joint coordination

DEFINITION / WHAT THIS IS CALLED

Goods and Services Tax (GST) is a destination-oriented tax on the supply of goods or services, implemented through coordinated Union and State laws.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

GST is not merely a rate reform; it is a constitutional compact that pooled previously separated indirect-tax powers to create a credit-linked common market.

MUST-WRITE KEYWORDS

supply | destination principle | cascading | pooled sovereignty | dual GST

GST-COUNCIL-SPECIFIC PARAGRAPH MODEL

- **Claim:** The pre-GST problem was constitutional as well as economic.
- **Named evidence:** The Constitution (One Hundred and First Amendment) Act, 2016 created Articles 246A, 269A and 279A.

- **Analysis:** A common value-added tax required shared competence, an inter-State settlement bridge and a permanent bargaining forum.
- **Qualification:** "One Nation, One Tax" is shorthand: India retains dual levies, multiple statutes and important boundaries.

EVIDENCE AND EXPLANATION

- **[FACT]** Earlier levies attached to manufacture, services, sale and entry, so credit often broke across tax and jurisdictional boundaries.
- **[ANALYSIS]** Input-tax credit reduces tax-on-tax only when statutory eligibility, documentation and matching conditions are met.
- **[LIMIT]** GST did not absorb basic customs duty, stamp duty, electricity duty or every petroleum/alcohol levy.

PRELIMS TRAP

Do not describe GST as one Union tax; intra-State supplies ordinarily carry both Central and State/Union-territory components.

MAINS USE

Use this opening for questions on the 101st Amendment, common market, fiscal federalism or revenue reform.

RECAP

Problem: fragmented powers and credit. Response: shared competence, destination settlement and negotiated coordination.

SESSION 2 - THE 101ST AMENDMENT'S CONSTITUTIONAL SURGERY

VISUAL FIRST

Amendment move	Legal effect
insert Article 246A	special GST legislative competence
insert Article 269A	inter-State levy, collection and apportionment
insert Article 279A	constitutional GST Council
amend Articles 270 and 286	distribution and State-tax restrictions adapted to GST
omit Article 268A	separate service-tax provision removed
amend Article 366	GST definition and related terms

DEFINITION / WHAT THIS IS CALLED

The **101st Amendment (2016)** is the enabling constitutional redesign that made a dual, supply-based GST legally possible.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

The 101st Amendment redistributed competence and coordination; it did not itself prescribe every rate, exemption or return.

MUST-WRITE KEYWORDS

101st Amendment | Article 268A omitted | Article 270 | Article 286 | Article 366(12A)

GST-COUNCIL-SPECIFIC PARAGRAPH MODEL

- **Claim:** The Amendment replaced fragmented constitutional tax routes with a linked GST architecture.
- **Named evidence:** Sections of the 101st Amendment inserted Articles 246A, 269A and 279A, omitted Article 268A and amended Articles 270, 286 and the Seventh Schedule.

- **Analysis:** The legal surgery joins competence, distribution, territorial limits and institutional consultation without collapsing them into one provision.
- **Qualification:** Operational liability still arises under Acts, rules and notifications, not from the Amendment alone.

EVIDENCE AND EXPLANATION

- **[FACT]** Article 270 was amended so relevant GST proceeds enter the constitutional distribution framework.
- **[FACT]** Article 286 now restrains State taxation of supplies outside the State or in import/export and allows Parliament to formulate principles.
- **[FACT]** Article 268A, formerly dealing with service tax, was omitted because services entered the broader GST supply base.
- **[FACT]** Article 366(12A) defines GST while excluding taxes on alcoholic liquor for human consumption.

PRELIMS TRAP

The 122nd Constitution Amendment Bill became the **101st Amendment Act**; do not confuse Bill and Act numbers.

MAINS USE

Use the table as the constitutional-significance core of a 2023-style accommodative-federalism answer.

RECAP

Amendment = enabling architecture; statutes and delegated instruments = implementation.

SESSION 3 - ARTICLE 246A - SPECIAL SHARED LEGISLATIVE POWER

VISUAL FIRST

INTRA-STATE SUPPLY

Parliament -> CGST law

State legislature -> SGST law UT route -> UTGST law

INTER-STATE SUPPLY

Parliament alone -> IGST law under Article 246A(2)

DEFINITION / WHAT THIS IS CALLED

Article 246A gives Parliament and State legislatures simultaneous GST competence, subject to Parliament's exclusive power over inter-State supplies.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Article 246A is a special shared taxing field, not a routine Concurrent List entry.

MUST-WRITE KEYWORDS

simultaneous power | Article 246A(1) | inter-State exclusivity | Article 246A(2)

GST-COUNCIL-SPECIFIC PARAGRAPH MODEL

- **Claim:** GST pooled legislative sovereignty without making State legislatures subordinate to the Council.
- **Named evidence:** Article 246A(1) empowers Parliament and every State legislature; clause (2) reserves inter-State GST legislation to Parliament.
- **Analysis:** The arrangement permits coordinated CGST and SGST laws while preserving a single parliamentary inter-State field.
- **Qualification:** Simultaneous power does not mean identical territorial reach or that ordinary Article 254 repugnancy logic mechanically governs GST.

EVIDENCE AND EXPLANATION

- **[FACT]** Parliament legislates CGST and IGST; States legislate their SGST within constitutional limits.
- **[ANALYSIS]** Shared competence is the constitutional basis for the Supreme Court's emphasis on collaborative federal dialogue.

- **[LIMIT]** A Council recommendation cannot itself exercise Article 246A legislative power.

PRELIMS TRAP

Do not say States legislate IGST merely because they hold simultaneous GST power; Article 246A(2) is the inter-State exception.

MAINS USE

Use Article 246A to explain both pooled sovereignty and why *Mohit Minerals* rejected a binding-Council theory.

RECAP

Article 246A shares the GST field but gives Parliament the exclusive inter-State slice.

SESSION 4 - ARTICLE 269A - IGST, IMPORTS AND DESTINATION

VISUAL FIRST

Supplier State A -> IGST on inter-State supply -> Union collection
 -> place-of-supply + credit/settlement rules
 -> destination State B receives apportioned revenue significance

Import into India -> deemed inter-State supply

DEFINITION / WHAT THIS IS CALLED

Article 269A constitutionalises Union levy and collection of GST on inter-State supplies with apportionment between the Union and States.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

IGST is a clearing and settlement bridge that supports destination taxation across State borders.

MUST-WRITE KEYWORDS

IGST | apportionment | place of supply | imports | destination State

GST-COUNCIL-SPECIFIC PARAGRAPH MODEL

- **Claim:** Article 269A prevents inter-State trade from becoming a chain-breaking origin tax.
- **Named evidence:** Article 269A(1) and (5), read with the IGST Act, govern collection, apportionment and place-of-supply principles.
- **Analysis:** Credit and settlement move the revenue consequence toward consumption while retaining a nationally administered inter-State levy.
- **Qualification:** The Constitution supplies the framework; detailed settlement accounting is statutory and technological.

EVIDENCE AND EXPLANATION

- **[FACT]** Supplies in the course of import are deemed inter-State supplies.
- **[FACT]** Parliament may formulate place-of-supply principles under Article 269A(5).
- **[ANALYSIS]** Destination treatment reduces incentives for border taxation but raises producing-versus-consuming State concerns.

PRELIMS TRAP

IGST is not an additional final tax layered over CGST and SGST on the same inter-State supply; it is the inter-State mechanism.

MAINS USE

Use the flow to answer destination-principle and common-market questions without inventing settlement formulae.

RECAP

Article 269A connects inter-State competence, Union collection and destination-oriented apportionment.

SESSION 5 - ARTICLE 279A - COMPOSITION, VICE-CHAIR AND SUPPORT

VISUAL FIRST

Constitutional member	Position
Union Finance Minister	Chairperson
Union MoS in charge of Revenue or Finance	Union member
State finance/tax minister or another State-nominated minister	one member per State

State members choose one among themselves as Vice-Chairperson. Revenue Secretary and CBIC Chair support the institution but are not constitutional voting members.

DEFINITION / WHAT THIS IS CALLED

The **GST Council** is the Article 279A constitutional forum in which the Union and States recommend the design of GST.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

The Council's legitimacy comes from ministerial federal representation, not from being a tax legislature or administrative department.

MUST-WRITE KEYWORDS

Article 279A | Union Finance Minister | State ministers | Vice-Chairperson | Secretariat

GST-COUNCIL-SPECIFIC PARAGRAPH MODEL

- **Claim:** Composition converts GST design into continuous political negotiation between governments.
- **Named evidence:** Article 279A(2)-(3) fixes the members and authorises State members to choose a Vice-Chairperson for a period they decide.
- **Analysis:** Every State receives ministerial representation while the Union chairs and carries a constitutionally weighted vote.
- **Qualification:** The Revenue Secretary as ex-officio Secretary and CBIC Chair as non-voting invitee arise from administrative arrangements, not Article 279A membership.

EVIDENCE AND EXPLANATION

- **[FACT]** The President constituted the Council after Article 279A commenced in September 2016.
- **[FACT]** A State may nominate another minister instead of only the finance minister.
- **[LIMIT]** Officials may attend and advise but do not acquire the constitutional vote of a member.

PRELIMS TRAP

Do not name the Prime Minister, Revenue Secretary or CBIC Chair as the constitutional Chairperson or voting Union member.

MAINS USE

Composition is evidence that GST is coordinated through governments while legislation remains with legislatures.

RECAP

Chair: Union FM; Union MoS; one State minister each; Vice-Chair chosen by State members.

SESSION 6 - ARTICLE 279A(4)-(5) - RECOMMENDATION DOMAIN AND PETROLEUM DATE

VISUAL FIRST

279A(4) RECOMMENDS

subsumed taxes | taxable/exempt supplies | model laws
apportionment/place of supply | thresholds | rates/bands
disaster special rate | specified-State provisions | other GST matters

279A(5) SEPARATE DATE RECOMMENDATION

crude | HSD | petrol | natural gas | ATF

DEFINITION / WHAT THIS IS CALLED

Recommendation domain means the subjects on which the Council advises the Union and States; clause (5) separately addresses the date for five petroleum products.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Article 279A gives the Council a wide coordinating agenda, but each recommendation must travel through the legally competent instrument.

MUST-WRITE KEYWORDS

Article 279A(4) | model laws | thresholds | floor rates | disaster rate | Article 279A(5)

GST-COUNCIL-SPECIFIC PARAGRAPH MODEL

- **Claim:** A common market requires coordinated choices about base, rate, exemptions and place of supply.
- **Named evidence:** Article 279A(4)-(5) enumerates the recommendation fields and the deferred-petroleum date function.
- **Analysis:** The Council can harmonise policy across jurisdictions while leaving constitutional law-making power where Articles 246A and 269A place it.
- **Qualification:** Recommendation breadth does not convert the Council into Parliament, a State legislature or a court.

EVIDENCE AND EXPLANATION

- **[FACT]** Clause (4) includes taxes, cesses and surcharges that may be subsumed; taxable/exempt supplies; model laws; thresholds; rates; disaster rates and specified-State provisions.
- **[FACT]** Clause (5) names petroleum crude, high speed diesel, motor spirit (petrol), natural gas and aviation turbine fuel.
- **[LIMIT]** The Council recommends the date; until legal activation, these products remain outside the GST levy.

PRELIMS TRAP

Alcohol for human consumption is constitutionally excluded from the GST definition; petroleum is deferred through a date mechanism. They are not the same category.

MAINS USE

Use this distinction in close-option Prelims questions and petroleum-reform Mains answers.

RECAP

Clause (4) coordinates design; clause (5) controls the future entry date of five petroleum products.

SESSION 7 - QUORUM, WEIGHTED VOTING, CONSENSUS AND PROCEDURAL PROTECTION

VISUAL FIRST

Number	Meaning
1/2	quorum of total membership
1/3	Union's weight in votes cast
2/3	States' collective weight in votes cast
3/4	minimum weighted majority of members present and voting

Practice: consensus is usually preferred; law: weighted vote remains available.

DEFINITION / WHAT THIS IS CALLED

Weighted voting gives different aggregate vote shares to the Union and States while demanding a supermajority for a decision.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

The formula forces cross-level agreement: the Union cannot pass alone, States cannot pass alone, and the Union can block because two-thirds is below three-fourths.

MUST-WRITE KEYWORDS

quorum one-half | Union one-third | States two-thirds | three-fourths majority | consensus

GST-COUNCIL-SPECIFIC PARAGRAPH MODEL

- **Claim:** The voting rule constitutionalises interdependence rather than simple numerical federalism.
- **Named evidence:** Article 279A(7), (9) and (10) set quorum, weighted voting and protection against specified defects.
- **Analysis:** A broad coalition is mathematically necessary, while consensus practice reduces the political cost of formal division.
- **Qualification:** Article 279A does not create an express unilateral Union veto; blocking power is an arithmetic consequence of the weights.

EVIDENCE AND EXPLANATION

- **[FACT]** State weight is shared equally among State members present and voting.
- **[ANALYSIS]** With Union support, five-eighths of the State vote weight present and voting is needed to reach three-fourths overall.
- **[FACT]** Proceedings are not invalid merely because of a vacancy, defect in constitution, defect in appointment or procedural irregularity not affecting merits.

PRELIMS TRAP

Quorum, Union weight and passing threshold are three different numbers; never substitute one for another.

MAINS USE

Use the arithmetic to show both accommodation and asymmetry in cooperative federalism.

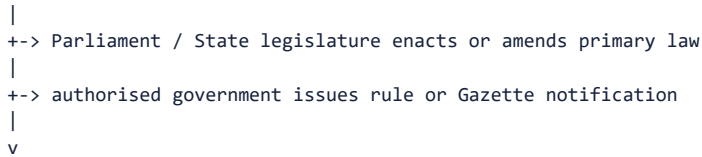
RECAP

Formal rule: 1/2, 1/3, 2/3, 3/4. Normal practice: seek consensus first.

SESSION 8 - FROM COUNCIL RECOMMENDATION TO ENFORCEABLE LAW

VISUAL FIRST

COUNCIL RECOMMENDATION



tax administration applies -> GSTAT/courts review legality

DEFINITION / WHAT THIS IS CALLED

Legal-effect chain separates policy recommendation, legislation, delegated notification, administration and adjudication.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

A press release records a Council recommendation; taxable liability changes only through a constitutionally and statutorily valid legal instrument.

MUST-WRITE KEYWORDS

recommendation | primary legislation | delegated legislation | Gazette notification | judicial review

GST-COUNCIL-SPECIFIC PARAGRAPH MODEL

- **Claim:** Council influence is substantial even though its recommendations are not self-executing.
- **Named evidence:** Articles 246A and 279A, CGST/IGST/SGST Acts and authorised rate or exemption provisions form the chain.
- **Analysis:** Consensus can produce near-uniform law, while statutory conditions may require a prior Council recommendation before executive notification.
- **Qualification:** Non-binding recommendations for legislatures do not license administrators to disregard mandatory conditions in an enacted statute.

EVIDENCE AND EXPLANATION

- **[FACT]** Parliament and State legislatures enact GST laws within their fields.
- **[FACT]** Governments issue rate, exemption and procedural notifications only under delegated statutory authority.
- **[LIMIT]** Meeting recommendations, FAQs and press releases are not substitutes for the applicable Gazette text and effective date.

PRELIMS TRAP

Do not write either extreme: "Council decisions automatically bind everyone" or "Council advice has no legal significance."

MAINS USE

This chain is the safest paragraph after citing *Mohit Minerals*.

RECAP

Recommendation guides; law authorises; notification operationalises; administration applies; adjudication reviews.

SESSION 9 - DUAL GST ARCHITECTURE - CGST, SGST, UTGST AND IGST

VISUAL FIRST

Supply	Levy architecture	Basic revenue logic
intra-State in a State	CGST + SGST	Union and destination State components
intra-State in applicable Union Territory	CGST + UTGST	Union plus UT component
inter-State	IGST	Union collection with credit/apportionment
import	IGST route plus applicable customs duty	import deemed inter-State for GST

DEFINITION / WHAT THIS IS CALLED

Dual GST means coordinated Central and subnational levies on the same intra-State supply, with IGST bridging inter-State supplies.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

India's GST architecture preserves two levels of government inside one credit-linked system.

MUST-WRITE KEYWORDS

CGST | SGST | UTGST | IGST | intra-State | inter-State

GST-COUNCIL-SPECIFIC PARAGRAPH MODEL

- **Claim:** The dual model balances a common market with constitutionally retained fiscal roles.
- **Named evidence:** The CGST Act, corresponding SGST/UTGST laws and IGST Act create the operative levy architecture.
- **Analysis:** Parallel intra-State components and an integrated inter-State mechanism allow shared revenue without restoring border taxes.
- **Qualification:** Classification of a supply and place-of-supply rules can be complex; the constitutional diagram is not a substitute for statutory analysis.

EVIDENCE AND EXPLANATION

- **[FACT]** CGST and SGST/UTGST generally apply together to intra-State taxable supplies.
- **[FACT]** IGST applies to inter-State supplies and imports under the statutory framework.
- **[LIMIT]** Basic customs duty remains distinct even where import IGST also applies.

PRELIMS TRAP

UTGST is not a fourth tax added to CGST and SGST on every transaction; it substitutes for the subnational component in applicable Union Territories.

MAINS USE

Use the table to explain why "one tax" means coordinated architecture, not one charging statute.

RECAP

Intra-State: dual components. Inter-State/import: IGST bridge.

SESSION 10 - DESTINATION PRINCIPLE, INPUT-TAX CREDIT AND GSTN

VISUAL FIRST

INPUT PURCHASE -> eligible tax credit recorded
|
OUTPUT SUPPLY -> output liability
|
NET PAYMENT = output liability - eligible credit
|
invoice/return data travels through GSTN systems

GSTN = technology platform; it is not the Council, legislature or tax officer.

DEFINITION / WHAT THIS IS CALLED

Input-tax credit (ITC) permits eligible input tax to offset output liability; **GSTN** provides the shared technology infrastructure supporting registration, returns and data exchange.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Destination GST works through legal credit entitlement plus administrative technology, not through software alone.

MUST-WRITE KEYWORDS

ITC | value added | destination | invoice matching | GSTN | digital inclusion

GST-COUNCIL-SPECIFIC PARAGRAPH MODEL

- **Claim:** The credit chain is the economic engine of GST, while GSTN is its administrative nervous system.
- **Named evidence:** CGST Act credit provisions and the GST Network's platform functions are distinct named evidence.
- **Analysis:** Credit reduces cascading and data integration supports compliance, settlement and risk analysis.
- **Qualification:** Credits remain conditional and GSTN does not decide constitutional policy or adjudicate tax liability.

EVIDENCE AND EXPLANATION

- **[FACT]** Blocked credits, exempt supplies, reversals and documentation conditions can interrupt seamless credit.
- **[ANALYSIS]** Technology can reduce transaction costs but also exclude small firms where connectivity, literacy or working capital is weak.
- **[LIMIT]** Portal behaviour cannot override an Act, valid rule, notification or judicial order.

PRELIMS TRAP

GSTN means Goods and Services Tax Network, not GST Council Secretariat or CBIC.

MAINS USE

Use this session for economy-polity answers linking formalisation, compliance and inclusion.

RECAP

Law creates the credit; GSTN carries data; administrations enforce; courts and GSTAT resolve legal disputes.

SESSION 11 - BOUNDARIES - ALCOHOL, PETROLEUM, TOBACCO, ELECTRICITY AND STAMP DUTY

VISUAL FIRST

Item	Exam-safe position
alcoholic liquor for human consumption	excluded from GST definition by Article 366(12A)
crude, HSD, petrol, natural gas, ATF	GST levy deferred until Article 279A(5) date recommendation and legal activation
tobacco/tobacco products	within GST; Union excise power also retained
electrical energy	State electricity-duty field retained; current GST treatment must be read from notifications
stamp duty	separate constitutional/statutory transaction-document field; not subsumed into GST

DEFINITION / WHAT THIS IS CALLED

GST boundary mapping distinguishes constitutional exclusion, deferred levy, concurrent surviving levy and separate tax fields.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

A high-scoring answer classifies exclusions instead of saying that everything outside today's GST has the same legal status.

MUST-WRITE KEYWORDS

alcohol exclusion | petroleum deferral | tobacco dual burden | electricity duty | stamp duty

GST-COUNCIL-SPECIFIC PARAGRAPH MODEL

- **Claim:** The constitutional boundary preserves politically and fiscally important non-GST fields.
- **Named evidence:** Article 366(12A), Article 279A(5), amended Union List Entry 84 and State List Entries 51, 53 and 54 provide the map.
- **Analysis:** Different boundaries protect State revenue or preserve Union excise while allowing future petroleum coordination.
- **Qualification:** Supply-specific legal treatment can change by valid notification; only the constitutional category should be treated as durable.

EVIDENCE AND EXPLANATION

- **[FACT]** Alcohol for human consumption is outside the constitutional GST definition.
- **[FACT]** Tobacco can bear GST and Union excise; it is not excluded like alcohol.
- **[FACT]** Electricity duty and stamp duties remain separate fields; do not claim the Council levies them.

PRELIMS TRAP

Petroleum is not constitutionally excluded from the GST definition; it is held outside levy pending the date route.

MAINS USE

Use this classification for petroleum inclusion, State autonomy and close-option questions.

RECAP

Ask first: excluded, deferred, concurrently retained or simply separate?

SESSION 12 - COMPENSATION ACT 2017 AND THE FIVE-YEAR TRANSITION

VISUAL FIRST

FY 2015-16 BASE REVENUE

|
14% annual projected growth under the 2017 Act
|
projected revenue - actual protected revenue = compensation gap
|
compensation cess and Fund

Protected transition: 1 July 2017 to 30 June 2022

Post-2022 cess collection for loan servicing != extended compensation right

DEFINITION / WHAT THIS IS CALLED

The **GST (Compensation to States) Act, 2017** created a time-bound statutory revenue-protection bargain for the first five GST years.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Compensation was the credibility price of State consent to pooled taxation, but the protected entitlement ended in June 2022.

MUST-WRITE KEYWORDS

Compensation Act | base year 2015-16 | 14 per cent projection | compensation cess | transition period

GST-COUNCIL-SPECIFIC PARAGRAPH MODEL

- **Claim:** The compensation bargain converted federal trust into a calculable statutory promise.
- **Named evidence:** Section 18 of the 101st Amendment and the GST (Compensation to States) Act, 2017 supplied the constitutional direction and statutory formula.
- **Analysis:** Revenue protection reduced transition risk, especially for States surrendering origin-linked and independent levies.
- **Qualification:** Later cess collection used for pandemic-era back-to-back loan and interest servicing is not a continuation of the five-year compensation entitlement.

EVIDENCE AND EXPLANATION

- **[FACT]** The protected transition ran for five years from GST commencement and ended on 30 June 2022.
- **[FACT]** The Act used FY 2015-16 as base and 14 per cent projected annual growth for the statutory calculation.
- **[CURRENT]** The 56th-meeting official material linked specified cess continuation to discharge of related loan and interest liabilities; no universal cessation date is asserted here.

PRELIMS TRAP

Do not write "compensation continues" merely because compensation cess continues for a different debt-servicing purpose.

MAINS USE

Use the formula and the entitlement-versus-cess distinction in fiscal-trust answers.

RECAP

Five-year protected right ended; post-2022 cess servicing is legally and fiscally distinct.

SESSION 13 - MOHIT MINERALS (2022) - PERSUASIVE, NOT IRRELEVANT

VISUAL FIRST

OCEAN-FREIGHT NOTIFICATION CHALLENGE

Supreme Court: Article 246A gives simultaneous legislative power
Council recommendations -> persuasive value, not binding commands
separate levy failed within statutory/composite-supply analysis
cooperative federalism works through dialogue, not hierarchy

DEFINITION / WHAT THIS IS CALLED

Union of India v Mohit Minerals Pvt. Ltd. (2022) is the controlling Supreme Court authority on the legal force of GST Council recommendations.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

The Court protected cooperative federalism by treating recommendations as persuasive while keeping statutes and delegated action legally enforceable.

MUST-WRITE KEYWORDS

Mohit Minerals | persuasive value | simultaneous power | ocean freight | composite supply

GST-COUNCIL-SPECIFIC PARAGRAPH MODEL

- **Claim:** Article 279A coordination does not extinguish Article 246A legislative autonomy.
- **Named evidence:** The Supreme Court judgment dated 19 May 2022 interpreted the Constitution and tested the ocean-freight levy under the IGST/CGST statutory scheme.
- **Analysis:** A non-binding constitutional recommendation can still exert strong political and harmonising force, while statutory vires remains reviewable.
- **Qualification:** The holding does not make the Council irrelevant or make every Council-linked administrative decision optional.

EVIDENCE AND EXPLANATION

- **[FACT]** Council recommendations are not binding on Parliament or State legislatures; they have persuasive value.
- **[FACT]** Union and States possess simultaneous GST legislative power under Article 246A, subject to the inter-State allocation.
- **[FACT]** The challenged separate ocean-freight reverse-charge levy failed in the setting of a CIF composite import and the governing statutes.

PRELIMS TRAP

Never reduce the case to "all recommendations may be ignored"; distinguish primary legislation from delegated action conditioned by statute.

MAINS USE

Use the case after explaining the recommendation-to-law chain, not as a slogan.

RECAP

Persuasive constitutional coordination + binding enacted law + reviewable delegated action.

SESSION 14 - ARTICLE 279A(11) - INTERGOVERNMENTAL DISPUTE MECHANISM

VISUAL FIRST

DISPUTE ARISING FROM COUNCIL RECOMMENDATION OR IMPLEMENTATION

- |-- Government of India vs one or more States
- |-- Government of India + State(s) vs other State(s)
- +-- two or more States

Article 279A(11): Council shall establish an adjudicatory mechanism

NOT THE SAME AS: taxpayer appeal -> GST officer/appeal/GSTAT/court

DEFINITION / WHAT THIS IS CALLED

Article 279A(11) requires the Council to establish a mechanism to adjudicate specified intergovernmental disputes arising from its recommendations or their implementation.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

The Constitution anticipates federal conflict inside GST, but taxpayer appeals and intergovernmental disputes travel through different institutions.

MUST-WRITE KEYWORDS

Article 279A(11) | intergovernmental dispute | implementation | GSTAT distinction

GST-COUNCIL-SPECIFIC PARAGRAPH MODEL

- **Claim:** A cooperative forum needs a credible route for disputes that negotiation cannot settle.
- **Named evidence:** Article 279A(11) names the disputant combinations and the recommendation-or-implementation nexus.
- **Analysis:** A dedicated mechanism could reduce politicisation and clarify responsibility between governments.
- **Qualification:** No complete separately operational official mechanism was located in the bounded check through 8 September 2026; do not invent one or relabel GSTAT.

EVIDENCE AND EXPLANATION

- **[FACT]** Clause (11) places the establishment duty on the Council.
- **[FACT]** Its dispute classes are government-to-government, not ordinary taxpayer appeals.
- **[LIMIT]** Courts, statutory appeals, committees and political negotiation may address related issues but are not automatically the clause (11) mechanism.

PRELIMS TRAP

GSTAT adjudicates statutory GST appeals; it is not, merely by existing, the Article 279A(11) intergovernmental mechanism.

MAINS USE

Use this as a precise institutional reform point rather than claiming a constitutional vacuum resolves every dispute.

RECAP

Clause (11) is a federal dispute mandate; its parties and legal source differ from taxpayer adjudication.

SESSION 15 - INSTITUTIONAL FIREWALLS

VISUAL FIRST

Institution	Function	What it is not
GST Council	constitutional GST recommendations	legislature, administrator or court
Parliament/State legislatures	enact GST laws within competence	Council secretariat
GSTN	common technology platform	policy-making constitutional body
CBIC/State tax departments	administration and enforcement	intergovernmental voting forum
GSTAT	statutory appellate adjudication	Article 279A(11) by default
Finance Commission	Article 280 devolution/grant advice	GST rate-setting body

DEFINITION / WHAT THIS IS CALLED

Institutional distinction assigns policy coordination, legislation, technology, administration, appeals and fiscal transfers to different bodies.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

The GST Council is a constitutional recommendatory forum, not a tax legislature, portal operator, field administration or appellate court.

MUST-WRITE KEYWORDS

GST Council | Finance Commission | GSTN | CBIC | GSTAT | legislatures

GST-COUNCIL-SPECIFIC PARAGRAPH MODEL

- **Claim:** Clear institutional mapping prevents both constitutional overstatement and administrative confusion.
- **Named evidence:** Articles 246A, 279A and 280 plus the CGST Act's administrative and appellate scheme identify separate legal functions.
- **Analysis:** Specialisation allows negotiation, enactment, implementation, technology and adjudication to operate with different accountability rules.
- **Qualification:** Institutions cooperate, but functional overlap does not erase their distinct legal sources.

EVIDENCE AND EXPLANATION

- **[FACT]** CBIC is the Central Board of Indirect Taxes and Customs; it administers Central indirect-tax law.
- **[FACT]** GSTAT is the Goods and Services Tax Appellate Tribunal under the GST statutes.
- **[FACT]** The Finance Commission advises on tax devolution and grants under Article 280, not GST rate recommendations.

PRELIMS TRAP

Do not attribute CAG certification of net proceeds, GST portal operation or appellate judgments to the Council.

MAINS USE

A one-table institutional answer often distinguishes a precise response from a generic federalism essay.

RECAP

Council recommends; legislatures enact; administrations enforce; GSTN enables; GSTAT/courts adjudicate; Finance Commission transfers.

SESSION 16 - COOPERATIVE FEDERALISM, REVENUE AUTONOMY AND TRUST

VISUAL FIRST

COOPERATION: common base + consensus + settlement + uniform procedures

AUTONOMY COST: reduced unilateral State rate-setting

AUTONOMY SAFEGUARD: State votes + retained fields + Article 246A + Mohit

TRUST TESTS: compensation | cess transparency | delays | dispute route

DEFINITION / WHAT THIS IS CALLED

Cooperative fiscal federalism is sustained negotiation over shared tax power, revenue consequences and implementation responsibility.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

GST collectivised indirect-tax sovereignty: States lost unilateral room but gained a permanent constitutional seat and retained legislative power.

MUST-WRITE KEYWORDS

cooperative federalism | pooled sovereignty | revenue autonomy | trust | consensus

GST-COUNCIL-SPECIFIC PARAGRAPH MODEL

- **Claim:** The Council's success depends less on formal unanimity than on reciprocal confidence in evidence, compensation and implementation.
- **Named evidence:** Article 279A voting, the Compensation Act and *Mohit Minerals* provide three distinct federal safeguards.
- **Analysis:** Voting creates interdependence, compensation reduced transition risk and judicial doctrine preserved legislative autonomy.
- **Qualification:** The Union's blocking arithmetic and unequal revenue dependence mean formal voice does not guarantee equal bargaining power.

EVIDENCE AND EXPLANATION

- **[ANALYSIS]** Consensus can produce stable nationwide rules but may conceal pressure on fiscally dependent States.
- **[ANALYSIS]** Rate rationalisation can improve simplicity while changing State revenue and distributional burdens.
- **[LIMIT]** A single revenue trend cannot prove that institutional federalism is either wholly cooperative or coercive.

PRELIMS TRAP

Avoid the binaries "GST destroyed federalism" and "consensus proves perfect equality."

MAINS USE

Use a balanced design-practice-verdict structure in GS-II or GS-III.

RECAP

Design is cooperative; bargaining is asymmetric; durability depends on trust and transparent adjustment.

SESSION 17 - RATE RATIONALISATION, COMPLIANCE, TECHNOLOGY AND INCLUSION

VISUAL FIRST

Reform objective	Benefit sought	Federal/inclusion risk
fewer rate disputes	simplicity and certainty	revenue/distribution shifts
e-invoicing and data matching	compliance and fraud control	small-firm cost and digital divide
faster refunds	working-capital relief	administrative capacity
stable notification calendar	predictability	reduced emergency flexibility
reasoned exemptions	social/economic targeting	classification litigation

DEFINITION / WHAT THIS IS CALLED

GST reform adjusts rate structure, credit, compliance and administration while preserving legal and federal clarity.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Reform quality should be judged by simplicity, revenue adequacy, distribution, compliance cost and State trust-not by slab count alone.

MUST-WRITE KEYWORDS

rate rationalisation | compliance burden | refunds | technology | inclusion | federal trust

GST-COUNCIL-SPECIFIC PARAGRAPH MODEL

- **Claim:** A simpler GST can still be inequitable or fiscally unstable if evidence and transition support are weak.
- **Named evidence:** The official 56th Council meeting release of 3 September 2025 and April 2026 Secretariat newsletter provide date-stamped examples.
- **Analysis:** Meeting recommendations show policy direction; later Gazette notifications demonstrate the separate implementation stage.
- **Qualification:** This package does not freeze a commodity-wise rate catalogue or claim a later meeting without an official release.

EVIDENCE AND EXPLANATION

- **[CURRENT]** The 56th meeting recommended a broad 5 per cent merit, 18 per cent standard and 40 per cent special de-merit structure, with implementation dates requiring notifications.
- **[CURRENT]** The April 2026 newsletter records Notification No. 01/2026-Central Tax (Rate), dated 30 April 2026, as a Council-recommendation-based amendment example.
- **[LIMIT]** A dated example teaches the mechanism; it is not proof of every supply's rate on 8 September 2026.

PRELIMS TRAP

Never infer a legally effective rate from a Council press release without the notification and effective date.

MAINS USE

Use reform examples briefly, then return to institutional mechanism and federal consequences.

RECAP

Current examples are date-stamped evidence of process, not a permanent rate chart.

SESSION 18 - ACCOUNTABILITY, ANTI-PROFITEERING TRANSITION AND ANSWER SPINE

VISUAL FIRST

DEFINE -> DECODE 246A/269A/279A -> IDENTIFY INSTITUTION
-> CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION
-> REFORM -> BALANCED FEDERAL VERDICT

ACCOUNTABILITY TOOLS

reasons/minutes | fiscal modelling | notification tracker | dispute mechanism
cess accounts | small-firm support | appellate capacity | review calendar

DEFINITION / WHAT THIS IS CALLED

Accountable GST governance links transparent recommendation, valid legal implementation, accessible administration and independent adjudication.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

The next stage of GST federalism is not Council supremacy but traceable reasons, lawful notifications, credible dispute settlement and inclusive compliance.

MUST-WRITE KEYWORDS

reasoned recommendation | notification tracker | GSTAT | anti-profiteering sunset | cess
transparency

GST-COUNCIL-SPECIFIC PARAGRAPH MODEL

- **Claim:** Institutional durability requires the public and States to trace a policy choice from evidence to law and fiscal outcome.
- **Named evidence:** Article 279A, CGST section 171 notifications 18/2024 and 19/2024, and the statutory GSTAT framework are named controls.
- **Analysis:** Reasoned decisions and appellate capacity improve legitimacy; the notified anti-profiteering transition prevents outdated institutional claims.
- **Qualification:** GSTAT's statutory jurisdiction and the Article 279A(11) intergovernmental mechanism remain legally distinct.

EVIDENCE AND EXPLANATION

- **[FACT]** Notification 18/2024-Central Tax designated the GSTAT Principal Bench for anti-profiteering examination from 1 October 2024.
- **[FACT]** Notification 19/2024-Central Tax fixed 1 April 2025 as the date from which no new section 171 examination requests would be accepted.
- **[ANALYSIS]** Priority reforms include fuller reasons, independent fiscal incidence work, cess/loan disclosure and an operational clause (11) mechanism.

PRELIMS TRAP

Do not write that anti-profiteering law vanished or that all consumer disputes shifted into Article 279A(11).

MAINS USE

End any answer with one precise reform tied to the defect identified, not a generic call for cooperation.

RECAP

Strong answer: architecture, mechanism, evidence, limit, targeted reform and qualified cooperative-federal conclusion.

Exactly **32 original MCQs** appear before PYQs. Correct-option sequence: ABCD repeated eight times. Every option has a distinct explanation and every question has a unique examiner trap.

BASIC MCQS / REMEDIATION

MCQ 1. Article 246A is best described as:

A. a special GST competence shared by Parliament and States, with Parliament exclusive for inter-State supplies B. the Finance Commission's tax-sharing clause C. a parliamentary power over customs alone D. the Council's voting clause

Answer: A.

Option-specific explanations:

- **A:** Article 246A creates simultaneous GST power and reserves inter-State GST legislation to Parliament.
- **B:** Article 280, not Article 246A, creates the Finance Commission.
- **C:** Customs competence is not the defining subject of Article 246A.
- **D:** Voting is governed by Article 279A, not Article 246A.

Examiner trap 1: Trap 1: shared intra-State competence does not erase Parliament's exclusive inter-State field.

MCQ 2. Which constitutional change accompanied the 101st Amendment?

A. Deletion of Article 286 B. Omission of Article 268A C. Omission of Article 270 D. Insertion of Article 280A

Answer: B.

Option-specific explanations:

- **A:** Article 286 was amended to fit supply-based restrictions, not deleted.
- **B:** Article 268A's separate service-tax route was omitted.
- **C:** Article 270 was amended, not omitted.
- **D:** No Article 280A was inserted for GST.

Examiner trap 2: Trap 2: distinguish an omitted provision from provisions merely amended.

MCQ 3. Article 269A primarily governs:

A. GST Council membership B. State excise on alcohol C. inter-State GST levy, collection and apportionment D. Finance Commission grants

Answer: C.

Option-specific explanations:

- **A:** Council membership is found in Article 279A(2).
- **B:** Alcohol excise survives in separate constitutional fields.
- **C:** Article 269A is the constitutional IGST and apportionment bridge.
- **D:** Article 275 and Article 280 concern grants and Finance Commission advice.

Examiner trap 3: Trap 3: Article 269A is about inter-State flow, not the Council itself.

MCQ 4. Who chairs the GST Council?

A. Revenue Secretary B. Prime Minister C. Union Minister of State for Finance D. Union Finance Minister

Answer: D.

Option-specific explanations:

- **A:** The Revenue Secretary supports the Secretariat but is not constitutional Chairperson.
- **B:** The Prime Minister does not chair the Article 279A body.
- **C:** The Union MoS is a member, not Chairperson.
- **D:** Article 279A(2)(a) names the Union Finance Minister as Chairperson.

Examiner trap 4: Trap 4: administrative prominence does not create constitutional membership.

MCQ 5. A State is represented in the Council by:

A. its finance/tax minister or another minister nominated by the State Government B. its Chief Secretary only C. one MLA elected by the Assembly D. the Governor

Answer: A.

Option-specific explanations:

- **A:** Article 279A permits the finance/tax minister or another State-nominated minister.
- **B:** A Chief Secretary is not the State's constitutional voting member.
- **C:** The Constitution does not use an elected-MLA formula for Council membership.
- **D:** The Governor does not cast the State's Council vote.

Examiner trap 5: Trap 5: the representative must be a minister, but need not always hold the finance portfolio.

MCQ 6. The Council's Vice-Chairperson is:

A. appointed by the President B. chosen by State members from among themselves C. always the senior-most Chief Minister D. the Union MoS by office

Answer: B.

Option-specific explanations:

- **A:** The President constitutes the Council but does not select its Vice-Chair under clause (3).
- **B:** State members choose one among themselves and decide the period.
- **C:** No seniority convention is constitutionalised.
- **D:** The Union MoS is a member, not automatic Vice-Chair.

Examiner trap 6: Trap 6: the States control the vice-chair choice and period.

MCQ 7. The constitutional quorum is:

A. one-third of members present B. three-fourths of total membership C. one-half of total membership D. two-thirds of State members

Answer: C.

Option-specific explanations:

- **A:** One-third is associated with Union vote weight, not quorum.
- **B:** Three-fourths is the weighted decision threshold.
- **C:** Article 279A(7) fixes one-half of total membership.
- **D:** The Constitution does not define quorum as two-thirds of State members.

Examiner trap 7: Trap 7: quorum counts members; vote weights apply after a meeting is quorate.

MCQ 8. A formal Council decision needs at least:

A. a simple headcount majority B. two-thirds of unweighted votes C. unanimity D. three-fourths of weighted votes of members present and voting

Answer: D.

Option-specific explanations:

- **A:** Simple majority understates the constitutional threshold.
- **B:** Two-thirds is the States' aggregate weight, not the passing rule.
- **C:** Consensus is usual practice but not the only constitutional route.
- **D:** Article 279A(9) prescribes at least three-fourths of weighted votes.

Examiner trap 8: Trap 8: consensus practice does not repeal the formal weighted rule.

MCQ 9. The Union's weight in votes cast is:

A. one-third B. one-half C. two-thirds D. three-fourths

Answer: A.

Option-specific explanations:

- **A:** The Union has one-third of total votes cast.
- **B:** One-half is the quorum fraction.
- **C:** Two-thirds belongs collectively to States.
- **D:** Three-fourths is the passing threshold.

Examiner trap 9: Trap 9: memorise each fraction with its distinct function.

MCQ 10. States together hold:

A. one-third of votes cast B. two-thirds of votes cast C. three-fourths of votes cast D. one-half of total membership

Answer: B.

Option-specific explanations:

- **A:** One-third belongs to the Union.
- **B:** State members present and voting collectively carry two-thirds.
- **C:** Three-fourths is the required majority.
- **D:** One-half describes quorum, not State weight.

Examiner trap 10: Trap 10: State weight is collective and then shared equally among participating State members.

MCQ 11. The Union can block a proposal because:

A. the Chair has an express veto B. States have no constitutional vote C. States' maximum collective two-thirds falls below the three-fourths threshold D. Parliament must approve every Council agenda

Answer: C.

Option-specific explanations:

- **A:** Article 279A does not state a separate chairperson's veto.
- **B:** States collectively hold the larger vote share.
- **C:** Without Union support, the maximum two-thirds cannot reach three-fourths.
- **D:** Parliamentary pre-approval is not part of Council voting.

Examiner trap 11: Trap 11: call it blocking arithmetic, not an express constitutional veto.

MCQ 12. Article 279A(10) means Council proceedings are not invalid merely because of:

A. judicial review B. absence of any quorum C. failure to meet the voting threshold D. specified vacancy/appointment/constitution defects or non-merits procedural irregularity

Answer: D.

Option-specific explanations:

- **A:** Judicial review is not excluded by clause (10).
- **B:** Clause (10) does not authorise business without quorum.
- **C:** A failed majority cannot be cured as a minor defect.
- **D:** The clause protects proceedings from the enumerated defects and immaterial irregularity.

Examiner trap 12: Trap 12: defect protection is not permission to ignore quorum or voting.

MCQ 13. Which is expressly within Article 279A(4)?

A. threshold turnover below which GST may be exempted B. horizontal Finance Commission devolution C. CAG certification of net proceeds D. appointment of GSTAT judges

Answer: A.

Option-specific explanations:

- **A:** Thresholds are an express recommendation field.
- **B:** Horizontal devolution belongs to Article 280 architecture.
- **C:** CAG certification arises under Article 279.
- **D:** GSTAT appointments follow statute, not Article 279A(4)'s list.

Examiner trap 13: Trap 13: identify recommendation subjects, not every institution touching public finance.

MCQ 14. Article 279A(5) concerns the date for GST levy on:

A. alcoholic liquor for human consumption B. five specified petroleum products C. electricity duty D. stamp duty

Answer: B.

Option-specific explanations:

- **A:** Alcohol is excluded from the GST definition, not deferred under clause (5).
- **B:** Crude, HSD, petrol, natural gas and ATF are the five named products.
- **C:** Electricity duty remains a distinct State field.
- **D:** Stamp duty is outside the clause (5) list.

Examiner trap 14: Trap 14: petroleum is deferred; alcohol is excluded.

MCQ 15. Which statement about recommendations is correct?

A. They automatically amend all GST Acts. B. They are judicial decrees. C. They have persuasive constitutional value, while enforceability follows valid law or notification. D. They bind only private taxpayers directly.

Answer: C.

Option-specific explanations:

- **A:** A Council decision does not itself rewrite legislation.
- **B:** The Council is not a court.
- **C:** This states the recommendation-to-law chain after Mohit Minerals.
- **D:** Taxpayers are bound by applicable law, not directly by the recommendation.

Examiner trap 15: Trap 15: avoid both automatic-binding and legal-irrelevance extremes.

MCQ 16. A rate recommendation in a press release becomes enforceable through:

A. a newspaper report B. a GSTN portal banner alone C. a Finance Commission memorandum D. the competent Act/rule/Gazette notification with an effective date

Answer: D.

Option-specific explanations:

- **A:** Media publication cannot create tax liability.
- **B:** Portal display is administrative information, not delegated legislation.
- **C:** Finance Commission documents do not set GST rates.
- **D:** The authorised legal instrument supplies enforceability and timing.

Examiner trap 16: Trap 16: recommendation date and legal effective date may differ.

MCQ 17. An intra-State taxable supply ordinarily attracts:

A. CGST plus SGST or applicable UTGST B. IGST only C. SGST plus IGST D. customs duty only

Answer: A.

Option-specific explanations:

- **A:** The dual intra-State structure combines Central and subnational components.
- **B:** IGST is the inter-State/import bridge.
- **C:** SGST and IGST are not the standard same-supply intra-State pair.
- **D:** Customs duty concerns importation and does not replace domestic GST.

Examiner trap 17: Trap 17: choose the supply's territorial character before choosing the levy.

MCQ 18. Imports are treated for GST purposes as:

A. outside all GST B. inter-State supplies C. intra-State supplies in the port State D. State excise supplies

Answer: B.

Option-specific explanations:

- **A:** Imports may attract GST through the inter-State route.
- **B:** Article 269A deems import supplies inter-State.
- **C:** Port location does not convert the import into an intra-State supply.
- **D:** State excise is not the general import-GST mechanism.

Examiner trap 18: Trap 18: import IGST is distinct from basic customs duty.

MCQ 19. Input-tax credit primarily seeks to:

A. replace constitutional competence B. give the Council adjudicatory power C. tax value addition by offsetting eligible input tax against output liability D. exempt every business input

Answer: C.

Option-specific explanations:

- **A:** Credit rules do not allocate legislative power.
- **B:** ITC does not create Council adjudication.
- **C:** Eligible offset limits cascading and focuses burden on value addition.
- **D:** Blocked and ineligible credits remain possible.

Examiner trap 19: Trap 19: ITC is conditional credit, not universal exemption.

MCQ 20. GSTN is best described as:

A. the Article 279A voting forum B. the appellate tribunal C. the Central tax legislature D. the common GST technology platform

Answer: D.

Option-specific explanations:

- **A:** The GST Council is the constitutional forum.
- **B:** GSTAT is the statutory appellate institution.
- **C:** Parliament legislates Central GST law.
- **D:** GSTN supports registration, returns and shared digital processes.

Examiner trap 20: Trap 20: technology infrastructure is not constitutional policy authority.

MCQ 21. Alcoholic liquor for human consumption is:

A. excluded from the Article 366(12A) GST definition B. deferred only until an Article 279A(5) date C. within GST plus Union excise like tobacco D. an IGST-only supply

Answer: A.

Option-specific explanations:

- **A:** Article 366(12A) expressly excludes this supply from GST.
- **B:** The date mechanism applies to five petroleum products.
- **C:** Tobacco has a different concurrent treatment.
- **D:** Alcohol is not converted into an IGST-only category.

Examiner trap 21: Trap 21: constitutional exclusion is stronger than present-rate exemption.

MCQ 22. Tobacco products may bear:

A. State VAT only B. GST plus retained Union excise C. no indirect tax D. only compensation cess and no GST

Answer: B.

Option-specific explanations:

- **A:** Tobacco is not confined to State VAT.
- **B:** The amended constitutional field permits GST alongside Union excise.
- **C:** Tobacco is not tax-free.
- **D:** Cess treatment does not displace the underlying GST/excise structure.

Examiner trap 22: Trap 22: tobacco is the classic GST-plus-Union-excise boundary.

MCQ 23. The five-year compensation transition ended in:

A. June 2017 B. March 2020 C. June 2022 D. September 2025

Answer: C.

Option-specific explanations:

- **A:** GST had not yet begun in June 2017.
- **B:** March 2020 was within the transition and pandemic shock.
- **C:** The protected five-year period ended on 30 June 2022.
- **D:** The 56th meeting did not extend the original entitlement to 2025.

Examiner trap 23: Trap 23: cess continuation does not move the entitlement end date.

MCQ 24. Post-June 2022 compensation cess collection should be described as:

A. a permanent 14 per cent State guarantee B. a Finance Commission grant C. proof that compensation never ended D. a separately authorised loan/interest-servicing arrangement, with current dates checked officially

Answer: D.

Option-specific explanations:

- **A:** The protected growth guarantee was time-bound.
- **B:** The cess is not an Article 280 grant.
- **C:** Collection after transition does not revive the expired entitlement.
- **D:** This preserves the legal distinction and date sensitivity.

Examiner trap 24: Trap 24: label the purpose of continued cess, not merely its name.

MCQ 25. Mohit Minerals held Council recommendations to be:

A. persuasive rather than binding on Union and State legislatures B. binding constitutional commands C. irrelevant to GST law D. binding only on States

Answer: A.

Option-specific explanations:

- **A:** The Court assigned persuasive value and preserved simultaneous legislative power.
- **B:** A binding-command reading was rejected.
- **C:** The Council remains a central harmonising institution.
- **D:** The holding does not subordinate States alone.

Examiner trap 25: Trap 25: non-binding does not mean institutionally optional in every setting.

MCQ 26. The ocean-freight dispute involved:

A. State electricity duty B. a separate reverse-charge IGST levy in a CIF import/composite-supply setting C. the Finance Commission's divisible pool D. Council vice-chair election

Answer: B.

Option-specific explanations:

- **A:** Electricity duty was not the challenged levy.
- **B:** The statutory vires analysis concerned ocean freight within CIF imports.
- **C:** No Article 280 allocation question was before the Court.
- **D:** Council office procedure was not the dispute.

Examiner trap 26: Trap 26: know the factual setting before citing the constitutional holding.

MCQ 27. Article 279A(11) concerns:

A. private contract arbitration B. ordinary income-tax appeals C. specified intergovernmental disputes arising from Council recommendations or implementation D. appointment of GST officers

Answer: C.

Option-specific explanations:

- **A:** Private arbitration is outside the clause.
- **B:** Income-tax appeals use a different legal regime.
- **C:** Clause (11) lists Union-State and State-State dispute combinations.
- **D:** Officer appointment is an administrative matter.

Examiner trap 27: Trap 27: the parties are governments, not ordinary taxpayers.

MCQ 28. GSTAT is:

A. the GST Council Secretariat B. the Finance Commission C. the Article 279A(11) mechanism automatically D. a statutory appellate tribunal for GST disputes

Answer: D.

Option-specific explanations:

- **A:** The Secretariat supports Council work.
- **B:** Article 280 creates the Finance Commission.
- **C:** No automatic identity follows from GSTAT's existence.
- **D:** GSTAT hears statutory appeals under GST law.

Examiner trap 28: Trap 28: appellate tax adjudication and intergovernmental constitutional adjudication differ.

MCQ 29. The Finance Commission primarily:

A. recommends Article 280 tax devolution and grants B. sets GST rates C. operates GSTN D. administers CGST returns

Answer: A.

Option-specific explanations:

- **A:** Its constitutional role concerns devolution and grants.
- **B:** GST rate coordination belongs to the Council.
- **C:** GSTN operates technology.
- **D:** CBIC and State administrations handle tax administration.

Examiner trap 29: Trap 29: do not merge two federal fiscal institutions because both discuss revenue.

MCQ 30. Council practice is best stated as:

A. formal voting is unconstitutional B. consensus is usually preferred, while Article 279A(9) remains available C. every decision is unanimous by constitutional command D. the Union decides after consultation

Answer: B.

Option-specific explanations:

- **A:** The Constitution expressly provides a voting rule.
- **B:** This separates institutional practice from legal rule.
- **C:** Unanimity is not constitutionally mandatory.
- **D:** The Union cannot replace the Council's weighted process.

Examiner trap 30: Trap 30: convention and constitutional text must be separately labelled.

MCQ 31. Notification 19/2024-Central Tax fixed which anti-profiteering transition?

A. CCI began all GST appeals in 2017 B. GSTAT replaced Article 279A(11) C. no new section 171 examination requests from 1 April 2025 D. all pending cases automatically ended on 30 September 2024

Answer: C.

Option-specific explanations:

- **A:** CCI's earlier role does not describe this notification.
- **B:** The notification does not create the constitutional intergovernmental mechanism.
- **C:** The notified sunset concerns acceptance of new examination requests.
- **D:** Pending matters were not erased by the notification's publication date.

Examiner trap 31: Trap 31: a filing sunset is not retrospective cancellation of pending matters.

MCQ 32. Which reform most directly answers the constitutional dispute gap?

A. abolish State GST laws B. treat press releases as statutes C. give GSTN power to decide federal disputes D. operationalise a transparent Article 279A(11) mechanism while preserving courts and statutory appeals

Answer: D.

Option-specific explanations:

- **A:** Abolition would contradict the shared competence design.
- **B:** Press releases cannot replace legal instruments.
- **C:** A technology platform lacks adjudicatory constitutional authority.
- **D:** This targets the correct clause without confusing taxpayer remedies.

Examiner trap 32: Trap 32: reform must match the legal defect and the correct institution.

PYQS AND ANSWER PRACTICE

VERIFIED PYQ AUDIT

- **Direct owner:** UPSC GS-II 2023 Q15 on the 101st Amendment and accommodative federalism.
- **Closely adjacent verified papers:** Prelims 2018 Q97; GS-III 2019 Q1; GS-III 2020 Q12; GS-II 2025 Q14.
- **Official-key discipline:** Mains papers have no official answer key. The locally audited route for Prelims 2018 did not include a verified final official key, so no answer letter is presented as an official UPSC key.
- **Boundary:** no direct standalone 2024, 2025 or 2026 GST Council PYQ was located in the audited routes.

VERIFIED PYQ 1 - PRELIMS 2018, Q97

Question: Consider the following items:

1. Cereal grains hulled
2. Chicken eggs cooked
3. Fish processed and canned
4. Newspapers containing advertising material

Which of the above items is/are exempted under GST (Goods and Services Tax)?

A. 1 only B. 2 and 3 only C. 1, 2 and 4 only D. 1, 2, 3 and 4

Official-key status: The question is verified from the official paper, but no final official key was available in the audited local source set. No option is labelled an official UPSC answer. The item tests historical 2018 classifications and must not be used as a present-rate catalogue.

VERIFIED PYQ 2 - GS-III 2019, Q1 - 10 MARKS, 150 WORDS

Question: "Enumerate the indirect taxes which have been subsumed in the Goods and Services Tax (GST) in India. Also, comment on the revenue implications of the GST introduced in India since July 2017."

Demand route: enumerate Union and State levies; explain ITC/destination gains; qualify transition, exclusions, refunds and compliance.

Model route: Central excise on most goods, service tax, additional customs/excise components and relevant cesses joined State VAT/sales tax on most goods, CST, entry tax, luxury tax and most entertainment/betting levies. Article 246A created a shared base and Article 269A enabled destination settlement. ITC can reduce cascading and digital reporting can widen compliance. Yet refunds, blocked credits, rate changes and adjustment costs affect working capital and revenue. Alcohol, specified petroleum treatment, electricity duty, stamp duty and basic customs duty qualify the "single tax" claim. Revenue performance therefore depends on legal design, administration, economic conditions and federal trust.

VERIFIED PYQ 3 - GS-III 2020, Q12 - 15 MARKS, 250 WORDS

Question: "Explain the rationale behind the Goods and Services Tax (Compensation to States) Act of 2017. How has COVID-19 impacted the GST compensation fund and created new federal tensions?"

Demand route: transition bargain -> statutory formula -> pandemic shortfall -> borrowing response -> federal trust -> June 2022 limit.

Model route: The 2017 Act converted the political bargain behind State consent into a five-year revenue-protection formula using FY 2015-16 and 14 per cent projected growth. Compensation cess funded the calculated gap. COVID-19 simultaneously compressed tax/cess receipts and enlarged State expenditure needs, creating a funding shortfall and disagreement over borrowing responsibility. Back-to-back loans and later cess servicing addressed debt, but did not extend the original compensation entitlement beyond June 2022. The dispute exposed the asymmetry between State service obligations and reduced unilateral rate space. Durable reform requires transparent cess accounts, predictable settlement and a negotiated shock-sharing rule.

VERIFIED PYQ 4 - GS-II 2023, Q15 - 15 MARKS, 250 WORDS

Question: "Explain the significance of the 101st Constitutional Amendment Act. To what extent does it reflect the accommodative spirit of federalism?"

Demand route: constitutional surgery -> pooled sovereignty -> Council/vote -> compensation -> *Mohit Minerals* -> graded verdict.

Model route: The Amendment is significant because it redesigned fiscal competence rather than merely adding a tax. Article 246A created simultaneous Union-State GST power, Article 269A built the inter-State settlement bridge and Article 279A institutionalised continuous bargaining. Accommodation appears in State ministerial representation, the one-third/two-thirds vote balance, the three-fourths threshold and the five-year compensation bargain. *Mohit Minerals* preserved legislative autonomy by treating Council recommendations as persuasive. However, the Union's blocking arithmetic, State dependence on settlement and compensation, and loss of unilateral rate flexibility qualify equality. It is accommodative federalism by pooled design, but its practical quality depends on consensus, transparency and fiscal trust.

VERIFIED PYQ 5 - GS-II 2025, Q14 - ADJACENT OWNER

Question: "Examine the evolving pattern of Centre-State financial relations in the context of planned development in India. How far have the recent reforms impacted the fiscal federalism in India?"

Ownership note: The principal owner is Centre-State Relations. GST contributes one dimension: pooled Article 246A power, Council bargaining, destination settlement, compensation and cesses. A complete answer must also cover Finance Commission devolution, Article 282 transfers, centrally sponsored schemes, borrowing and cesses/surcharges.

EXACTLY SIX ORIGINAL MAINS MODELS

ORIGINAL MAINS 1 - 10 MARKS - MAXIMUM 150 WORDS

Question: Distinguish Articles 246A, 269A and 279A in India's GST architecture.

Model answer:

Article 246A answers **who legislates**: Parliament and State legislatures have simultaneous GST power, while Parliament alone legislates for inter-State supplies. Article 269A answers **how inter-State GST moves**: the Union levies and collects it, imports are deemed inter-State, and proceeds are apportioned under parliamentary law; Parliament also frames place-of-supply principles. Article 279A answers **where policy is coordinated**: the Union and States meet in the GST Council to recommend the tax base, model laws, thresholds, rates and related design.

The three provisions therefore form a competence-flow-coordination triangle. *Mohit Minerals* confirms that Article 279A recommendations are persuasive rather than binding on legislatures because Article 246A preserves simultaneous power. Yet a statute may require a Council recommendation before delegated notification. The provisions are complementary, not interchangeable: the Council neither levies IGST nor replaces Parliament and State legislatures.

Audited model prose word count: 133.

Examiner method: claim -> named constitutional/statutory/case evidence -> analysis -> qualification -> verdict.

ORIGINAL MAINS 2 - 10 MARKS - MAXIMUM 150 WORDS

Question: Explain the GST Council's voting design and federal significance.

Model answer:

Article 279A requires one-half of total membership as quorum. In votes cast, the Union carries one-third and all participating States together two-thirds, shared equally among them. A decision needs at least three-fourths of weighted votes of members present and voting.

The design creates structured interdependence. The Union cannot pass a proposal alone; States also cannot pass alone because their maximum two-thirds falls below three-fourths. Thus the Union has an arithmetic blocking position, though Article 279A does not name a separate veto. With Union support, at least five-eighths of the State vote weight

is needed.

In practice the Council usually seeks consensus, which can stabilise nationwide rules and avoid visible federal division. However, consensus should not conceal unequal revenue dependence. The voting formula is therefore cooperative in requiring a cross-level coalition, but asymmetric in bargaining power.

Audited model prose word count: 135.

Examiner method: claim -> named constitutional/statutory/case evidence -> analysis -> qualification -> verdict.

ORIGINAL MAINS 3 - 15 MARKS - MAXIMUM 250 WORDS

Question: "The GST Council recommends, but legislatures and governments give legal effect." Examine.

Model answer:

The proposition separates constitutional coordination from legal enforceability. Article 279A authorises the GST Council to recommend model laws, exemptions, thresholds, rates, place-of-supply principles and related matters. Article 246A, however, vests GST legislative competence in Parliament and State legislatures, with Parliament exclusive for inter-State supplies.

The usual chain is: Council recommendation -> parliamentary or State enactment/amendment -> authorised rule or Gazette notification -> administration -> appellate or judicial review. A Council press release therefore does not itself change a taxpayer's liability. The applicable Act, delegated authority, notification and effective date must be identified.

Union of India v Mohit Minerals (2022) held that Council recommendations have persuasive value and are not binding commands to Union or State legislatures. This protects simultaneous legislative power and cooperative dialogue. Yet the judgment does not make recommendations legally irrelevant. Where an enacted statute conditions an exemption or rate notification on the Council's recommendation, the executive must obey that statutory condition.

Thus the Council is neither a tax legislature nor an optional talking shop. Its constitutional influence promotes harmonisation, while enforceability remains grounded in competent legislation and valid delegated action.

Audited model prose word count: 180.

Examiner method: claim -> named constitutional/statutory/case evidence -> analysis -> qualification -> verdict.

ORIGINAL MAINS 4 - 15 MARKS - MAXIMUM 250 WORDS

Question: Assess the compensation bargain and the post-June 2022 federal trust problem.

Model answer:

GST required States to surrender important independent indirect-tax fields and accept a destination-based common system. Section 18 of the 101st Amendment directed Parliament to provide five-year compensation on the Council's recommendation. The GST (Compensation to States) Act, 2017 made that bargain calculable: FY 2015-16 was the base, projected revenue grew at 14 per cent annually, and compensation covered the statutory projected-actual gap through a cess-funded arrangement.

The mechanism reduced transition risk and helped secure State consent. COVID-19 then compressed GST and cess receipts while expanding State health and welfare obligations. The shortfall produced conflict over borrowing responsibility; back-to-back loans were arranged and cess collection continued for debt and interest servicing.

The central legal boundary is that the protected five-year entitlement ended on 30 June 2022. Continued cess for servicing specified pandemic-era liabilities is not an extension of the compensation right. Trust nevertheless remains affected because States retain major expenditure duties but have less unilateral rate flexibility.

A durable compact needs transparent cess and loan accounts, predictable settlement, independent revenue-impact assessment and a negotiated shock-sharing rule. Compensation should be remembered as a time-bound transition guarantee whose credibility shaped cooperative federalism beyond its formal expiry.

Audited model prose word count: 193.

Examiner method: claim -> named constitutional/statutory/case evidence -> analysis -> qualification -> verdict.

ORIGINAL MAINS 5 - 20 MARKS - MAXIMUM 250 WORDS

Question: Evaluate *Mohit Minerals* as a judgment on fiscal federalism and statutory vires.

Model answer:

Union of India v Mohit Minerals Pvt. Ltd. (2022) arose from a separate reverse-charge IGST levy on ocean freight in cost-insurance-freight imports. The importer already faced IGST on the composite import value. The Supreme Court tested the notification against the IGST/CGST statutory scheme and the treatment of composite supply; the levy failed that vires analysis.

The constitutional importance lay in the Court's reading of Articles 246A and 279A. Parliament and State legislatures possess simultaneous GST power, subject to Parliament's inter-State field. The Council's recommendations therefore have persuasive value, not binding force over primary legislatures. Cooperative federalism was described as collaborative dialogue rather than hierarchy.

The ruling protects State legislative autonomy and prevents a recommendatory body from becoming a super-legislature. At the same time, it does not make the Council irrelevant. Political agreement, uniform statutory design and statutory provisions requiring prior recommendation still give Council decisions major practical and legal consequence. Nor does it mean an administrator may ignore an enacted condition.

The case thus joins two disciplines: federal constitutionalism and delegated-legislation control. Its correct lesson is persuasive coordination plus binding valid law, not universal administrative choice or automatic invalidity of Council-linked notifications.

Audited model prose word count: 193.

Examiner method: claim -> named constitutional/statutory/case evidence -> analysis -> qualification -> verdict.

ORIGINAL MAINS 6 - 20 MARKS - MAXIMUM 250 WORDS

Question: Suggest reforms for a simpler, inclusive and trusted GST Council system.

Model answer:

Reform should strengthen the chain from recommendation to lawful, inclusive implementation.

First, publish concise reasons, fiscal-incidence estimates and recorded dissent for major rate, exemption and compliance changes. This would improve State bargaining and public scrutiny without forcing disclosure of every negotiating detail. Second, maintain a recommendation-to-notification tracker showing the competent Act, notification and effective date; this would prevent press releases from being mistaken for law.

Third, operationalise a transparent Article 279A(11) mechanism for specified intergovernmental disputes, while preserving GSTAT for statutory taxpayer appeals and courts for judicial review. Fourth, disclose compensation-cess collections, back-to-back loan liabilities and interest servicing, clearly separating debt repayment from the expired five-year compensation right.

Fifth, rationalise rates and inverted structures through a stable review calendar supported by distributional and State-wise revenue modelling. Sixth, reduce small-firm burdens through simpler returns, reliable refunds, assisted digital access and proportionate data requirements. Finally, coordinate CBIC, State administrations, GSTN and GSTAT without blurring accountability.

The goal is not Council supremacy. It is credible cooperative federalism: reasoned recommendations, valid legal instruments, accessible compliance, independent adjudication and transparent fiscal adjustment.

Audited model prose word count: 178.

Examiner method: claim -> named constitutional/statutory/case evidence -> analysis -> qualification -> verdict.

OPTIONAL ADVANCED DEPTH - NOT REQUIRED FOR A CORE ANSWER

ADVANCED 1 - PROCEDURE WITHOUT CONSTITUTIONAL OVERSTATEMENT

- The official Procedure and Conduct of Business Regulations govern notice, agenda, minutes and internal meeting practice.
- Article 279A(10) protects acts and proceedings from the specified vacancy, constitution, appointment and non-merits procedural defects; it does not cure absence of quorum or the required weighted majority.
- State members choose the Vice-Chairperson under Article 279A(3). Any procedural term fixed under regulations must be distinguished from the Constitution's open phrase "for such period as they may decide".

ADVANCED 2 - STATUTORY LEVY, EXEMPTION AND CREDIT

- The CGST Act defines supply, charging, exemption, input-tax credit, payment and administration.
- The IGST Act governs inter-State levy, place of supply, zero-rated supplies and settlement-related operation.
- "Nil-rated", "exempt", "non-taxable" and "zero-rated" are not interchangeable. Zero-rating preserves a credit/refund route for exports and qualifying SEZ supplies; exemption commonly interrupts credit.
- An inverted duty structure exists where input tax incidence exceeds output tax incidence; refund rights depend on the statute and notification, not a general constitutional promise.

ADVANCED 3 - PETROLEUM AND REVENUE AUTONOMY

- Bringing the five Article 279A(5) products into GST could improve credit continuity and reduce cascading for transport and industry.
- The federal cost is reduced State freedom over high-yield petroleum taxation and a need to negotiate rate, revenue protection and transition.
- A legally complete proposal therefore requires the Council's date recommendation, legislative/notification implementation and a fiscal transition design.

ADVANCED 4 - ANTI-PROFITEERING TRANSITION

- CGST section 171 requires commensurate passing of ITC and rate-reduction benefits.
- Notification 18/2024-Central Tax designated the GSTAT Principal Bench for the examination function from 1 October 2024.
- Notification 19/2024-Central Tax fixed 1 April 2025 as the date from which no new examination request would be accepted.
- This is a sunset for new requests, not proof that every pending matter disappeared or that GSTAT became the Article 279A(11) federal dispute mechanism.

ADVANCED 5 - CURRENT-STATUS DISCIPLINE THROUGH 8 SEPTEMBER 2026

- The latest official meeting recommendation release located in the bounded check is the 56th meeting release dated 3 September 2025.
- Its broad 5/18/40 recommendations are used only as a dated rate-rationalisation illustration.
- The April 2026 Secretariat newsletter's Notification No. 01/2026-Central Tax (Rate), dated 30 April 2026, illustrates implementation through delegated law.
- No later meeting outcome, commodity-wide current rate list, universal compensation-cess end date or complete Article 279A(11) mechanism is asserted without an official source.

CONSOLIDATED REGISTER NOTES

ONE-PAGE CONSTITUTIONAL SPINE

Provision	Rapid meaning
101st Amendment, 2016	enabled dual, supply-based GST and federal coordination
Article 246A	simultaneous Union-State GST power; Parliament exclusive for inter-State
Article 269A	Union levy/collection and apportionment of inter-State GST; imports deemed inter-State
Article 270	integrates relevant GST into constitutional tax distribution
Article 286	limits State taxation of outside-State and import/export supplies; parliamentary principles
Article 279A	creates the GST Council
Article 366(12A)	defines GST; excludes alcoholic liquor for human consumption
omitted Article 268A	old separate service-tax route removed

COUNCIL DESIGN

- Union Finance Minister chairs.
- Union MoS in charge of Revenue or Finance is the Union member.
- Every State nominates its finance/tax minister or another minister.
- State members choose a Vice-Chairperson for a period they decide.
- Quorum = one-half of total membership.
- Vote weight = Union one-third; States together two-thirds.
- Decision = at least three-fourths of weighted votes present and voting.
- Consensus is usual practice, not a replacement for the constitutional rule.
- Vacancy/defect protection does not cure lack of quorum or failed majority.

RECOMMENDATION AND LAW

Council recommends -> legislature enacts -> government notifies
-> CBIC/State administration applies -> GSTAT/courts review

- *Mohit Minerals* (2022): recommendations are persuasive, not binding on legislatures.
- Qualification: statutory conditions requiring Council recommendation still bind delegated action.
- Council is not a legislature, tax officer, GSTN, Finance Commission or court.

TAX ARCHITECTURE AND BOUNDARIES

- intra-State = CGST + SGST/UTGST.
- inter-State/import = IGST bridge.
- ITC offsets eligible input tax; conditions, blocks and reversals matter.
- GSTN is the common technology platform, not the constitutional Council.
- alcohol for human consumption = constitutional exclusion.
- crude/HSD/petrol/natural gas/ATF = deferred until Council-recommended date and legal activation.
- tobacco = GST plus retained Union excise possibility.
- electricity duty and stamp duty = separate constitutional/statutory fields.

COMPENSATION, DISPUTES AND CURRENT CONTROL

- Compensation Act: FY 2015-16 base, 14 per cent projection, five-year protected transition ending 30 June 2022.
- Continued cess for specified loan/interest servicing is not extended compensation entitlement.
- Article 279A(11) covers specified government-to-government disputes arising from recommendations or implementation.
- No complete separate clause (11) mechanism was officially located through 8 September 2026.
- Latest official meeting release located: 56th meeting, 3 September 2025.
- April 2026 notification example proves the recommendation-to-notification chain, not a new meeting.

PRELIMS TRAPS

1. 122nd Bill, but 101st Amendment Act.
2. Article 246A = power; 269A = inter-State flow; 279A = Council.
3. Quorum 1/2; Union weight 1/3; States 2/3; threshold 3/4.
4. Alcohol excluded; petroleum deferred.
5. Council recommends; statutes/notifications impose liability.
6. GSTN operates technology; GSTAT adjudicates appeals.
7. Finance Commission handles devolution/grants, not GST rates.
8. Compensation right ended June 2022; cess servicing is separate.

MAINS ANSWER SPINE

define GST compact
-> decode 101st Amendment and Articles 246A/269A/279A
-> explain composition, recommendation and vote
-> show tax and legal-effect mechanisms
-> use compensation + Mohit as evidence
-> qualify autonomy, trust and implementation
-> propose targeted institutional reform
-> conclude: harmonisation through negotiated, lawful federalism

QUALIFIED CONCLUSION

The GST Council is a constitutional recommendatory forum for pooled tax sovereignty. Its durability rests on persuasive coordination, valid legislation, transparent fiscal adjustment, accessible administration and a credible intergovernmental dispute route-not on treating the Council as either a super-legislature or an irrelevant advisory body.

COMPLETE TOPIC ASCII MASTER FLOW DIAGRAM

ASCII MASTER FLOW - PANEL 1/12: CONCEPT AND PRE-GST PROBLEM

=====

GST = destination-oriented tax on supply, implemented through Union and State laws.
Pre-GST: manufacture + service + sale + entry taxes fragmented credit.
Cascading and border friction required constitutional, not merely statutory, repair.
Answer line: pooled sovereignty created a credit-linked common market.

ASCII MASTER FLOW - PANEL 2/12: 101ST AMENDMENT SURGERY

=====

2016: inserted Articles 246A, 269A and 279A; amended 270, 286 and 366.
Article 268A service-tax route omitted; Seventh Schedule tax entries altered.
Article 366(12A): GST on supply, excluding alcoholic liquor for human consumption.
Amendment enables architecture; Acts and notifications create operative liability.

ASCII MASTER FLOW - PANEL 3/12: COMPETENCE, FLOW AND TERRITORIAL LIMIT

=====

246A: Parliament + States legislate GST; Parliament exclusive for inter-State.
269A: Union levies/collects inter-State GST; imports deemed inter-State.
Place-of-supply + apportionment support destination revenue.
270 distributes relevant GST; 286 limits State tax on outside/import-export supplies.

ASCII MASTER FLOW - PANEL 4/12: COUNCIL COMPOSITION

=====

Article 279A forum: Union Finance Minister chairs.
Union MoS Revenue/Finance + one finance/tax or nominated minister per State.
State members choose Vice-Chairperson and period.
Revenue Secretary/CBIC Chair support; they are not constitutional voting members.

ASCII MASTER FLOW - PANEL 5/12: RECOMMENDATIONS AND PETROLEUM

=====

279A(4): subsumed levies, taxable/exempt supplies, model laws, thresholds and rates.
Also place of supply, disaster rate, specified-State provisions and other GST matters.
279A(5): Council recommends date for crude, HSD, petrol, natural gas and ATF.
Alcohol excluded; petroleum deferred: never merge the categories.

ASCII MASTER FLOW - PANEL 6/12: QUORUM, VOTE AND CONSENSUS

=====

Quorum 1/2 total members | Union 1/3 | States together 2/3.
Decision $\geq 3/4$ weighted votes present and voting.
Neither level can pass alone; Union blocking power is arithmetic, not express veto.
Consensus is usual practice; vacancy/defect protection cannot cure missing majority.

ASCII MASTER FLOW - PANEL 7/12: DUAL GST, ITC AND GSTN

=====

Intra-State: CGST + SGST/UTGST | inter-State/import: IGST.
ITC offsets eligible input tax against output liability; restrictions remain.
Destination principle uses place-of-supply, credit and settlement.
GSTN is technology infrastructure, not Council, legislature or adjudicator.

ASCII MASTER FLOW - PANEL 8/12: RECOMMENDATION TO LAW

=====

Council recommendation -> Parliament/State legislation -> authorised notification.
Administration applies; GSTAT/courts review statutory legality.
Press release != tax liability; verify Gazette instrument and effective date.
Mohit non-binding rule does not excuse breach of a statutory recommendation condition.

ASCII MASTER FLOW - PANEL 9/12: BOUNDARIES AND COMPENSATION

=====

Alcohol excluded | petroleum deferred | tobacco within GST + Union excise.
Electricity duty and stamp duty remain separate fields.

Compensation Act: 2015-16 base + 14% projection + cess-funded five-year gap.
Protected entitlement ended 30 June 2022; later cess loan servicing is separate.

ASCII MASTER FLOW - PANEL 10/12: MOHIT AND DISPUTE ROUTES

=====

Mohit Minerals (2022): recommendations persuasive, not binding on legislatures.
Article 246A simultaneous power; cooperative federalism through dialogue.
Ocean-freight levy failed in CIF composite-supply/statutory vires setting.
279A(11) intergovernmental mechanism != taxpayer appeal before GSTAT.

ASCII MASTER FLOW - PANEL 11/12: INSTITUTIONS AND REFORM

=====

Council recommends | legislatures enact | CBIC/States administer | GSTN enables.
GSTAT hears statutory appeals | Finance Commission advises devolution/grants.
Reforms: reasons, modelling, notification tracker, cess accounts, small-firm support.
Current examples must be official, dated and never converted into a rate catalogue.

ASCII MASTER FLOW - PANEL 12/12: TRAPS AND ANSWER SPINE

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TRAPS: 122nd Bill/101st Act | 1/2-1/3-2/3-3/4 | alcohol/petroleum.
TRAPS: recommendation/law | GSTN/GSTAT/Council | compensation/cess.
ANSWER: define -> Article -> mechanism -> evidence -> analysis -> qualification.
VERDICT: persuasive coordination + valid law + transparent federal trust.